

have the right to sue. However, GPL recognises the right of end users too.

Customs enforcement:

Enforcement through customs may also be initiated. Various countries have empowered customs authorities to issue directions to seize goods at the border, which infringe intellectual property rights.

Section 337 of the US Tariff Act, 1930, empowers the US International Trade Commission to issue orders directing infringing goods to be excluded from import into the US. The Indian Customs Act, 1962, prohibits import of goods that infringe intellectual property rights. Section 11 of the Act empowers the Central government, for the purposes specified in subsection 11(2), to prohibit import or export of goods of any description by issuing a notification.

Software distributors beware

Many open source licence obligations like providing copyright notice and source code are triggered by distribution. The term distribution has special importance in software as a service (SAAS), but has different interpretations in different jurisdictions. Most licences were written before the emergence of the SAAS model. However, Section 13 of AGPL closed the GPL SAAS loophole by obligating companies to make their source code open and available to the public when using AGPL components on a server connected to the network. AGPL states: “Notwithstanding any other provision of this license, if you *modify* the program, your modified version must prominently offer all users interacting with it remotely through a computer network (if your version supports such interaction) an opportunity to receive the corresponding source of your version by providing access to the corresponding source from a network server at no charge, through some standard or customary means of facilitating copying of software.”

The difference between the GPL and the AGPL in relation to SAAS is that the triggering factor for licence enforcement in the AGPL is modification, while that in the GPL is distribution.

Therefore, if the open source compliance process is followed diligently and no code, library or snippet with AGPL is used, SAAS companies do not have to provide the corresponding source code.

The UK High Court in the Football Dataco Limited vs Sportradar GmbH lawsuit in the context of GPLv2, held that the act of making material available to the public by online transmission occurs when the transmission takes place, and not where it is received, for the purpose of copyright.

Distributors also responsible for ensuring open source compliance

In several instances, distributors/vendors of products have attempted to absolve open source compliance responsibility by relying on the representation of the OEM or the contract manufacturer. In the case between Harald Welte and FANTEC GmbH, the Regional Court of Hamburg found the latter guilty of violating GNU GPLv2 in its media player. The court decided that FANTEC must pay a penalty fee plus costs for the lawyers. Additionally, FANTEC was ordered to provide information about its chain of distribution of the media player. In this case, FANTEC had attempted to rely on the representations of its Chinese contract manufacturer, who had provided the firmware to FANTEC.

Thus, open source distributors should not entirely rely on the assurance

given by the suppliers. They should conduct assessments independently or with the help of a qualified third party, to determine whether the software infringes any third-party rights.

Best practices for distributors of software or hardware incorporating software, should start from undertaking detailed assurances and corresponding documentation from the OEMs/contract manufacturers, and then conducting independent or third-party checks.

Patent grant

Certain open source licences contain provisions about patents, such as a patent grant clause and defensive termination clause. In certain licences, such as GPL v3.0, Apache 2.0, Eclipse and MPL, a patent licence is automatically granted to those who receive a copyright licence. Contributors with a patent on the code can grant a patent licence to all recipients of the code to enable them to exercise their rights under the open source licence.

Open source licences that contain express patent licences generally include a defensive termination clause as well. If users benefitting from an open source licence assert a patent against other recipients of that software or its derivatives, they can lose their own rights under the open source licence.

Companies should be aware of legal issues when using open source software. The cost of open source non-compliance can be exorbitant. Ensuring compliance may initially seem expensive. But, in the long run, compliance, being process driven, is a cost and reputation saver. **END** 

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